



GOVERNMENT OF SIKKIM
FINANCE DEPARTMENT

**ANNUAL CONSOLIDATED AUDIT AND REVIEW
REPORT**

On the accounts of
PANCHAYATI RAJ INSTITUTIONS & MUNICIPALITIES
For the financial year 2019-2020



**AUDITED DURING THE YEAR
2020-2021**

(To be laid before the Legislature, as required Under Section 19 of Sikkim Local Fund
Audit Act, 2012)

**DIRECTORATE OF LOCAL FUND AUDIT,
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I, P.S. Tamang (Golay), Minister-in-Charge of Finance Department do hereby authenticate the Annual Consolidated Audit and Review Report on the Accounts of Panchayati Raj Institutions and Municipalities audited during the year ended 31st March 2020.

I approve the same for placing on the table of Sikkim Legislative Assembly.

Dated: 12/03/2021



P.S. Tamang(Golay)

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PREFACE

The Directorate of Local Fund Audit, a division of Finance Department, Government of Sikkim- established to comply with the recommendations of the Eleventh Finance Commission is empowered to conduct audit on the accounts of local bodies viz., the Panchayati Raj Institutions(incorporated under Sikkim Panchayat Act 1993 as amended) and the Municipalities(incorporated under Municipalities Act 2007)- as mandated by the Local Fund Audit Act 2012.

The primary responsibility of the head of the Directorate is to cause to be placed the Annual Consolidated Audit and Review Report on the accounts of Panchayati Raj Institutions & Municipalities before State Legislative Assembly by the Government.

The auditing procedure is followed in conformity to the rules as provided in the Sikkim Local Fund Audit Rules 2014.

The outcome of the audit is especially designed to oversee the fund spending by Rural local bodies (Panchayati Raj Institutions-PRIs), and Urban Local Bodies (The Municipalities), a mechanism linked to release of performance grant by the Finance Commission, Government of India.

Accordingly, the Annual Consolidated Audit and Review Report (ACARR) for the year ended 31st March 2020 on the Accounts of Local Bodies is prepared and the same is hereby placed in the Sikkim Legislative Assembly.

FOREWORD

The Consolidated Audit and Review Report of Local Bodies audited during the year ended 31st March 2020 is compiled in Two parts.

Part - I: Panchayati Raj Institutions.

Part - II: Municipalities

Part I deals with a few Selected Audit Observations in respect of the Panchayati Raj Institutions i.e., Gram Panchayats and;

Part II deals with a few Selected Audit Observations in respect of Municipalities i.e., Nagar Panchayat.

GLOSSARY OF ABBREVIATIONS

AG	Accountant General
APO	Assistant Programme Officer
BAC	Block Administrative Centre
BDO	Block Development Officer
CAG	Comptroller and Auditor General of India
CARR	Consolidated Audit and Review Report, LFA
DLFA	Directorate of Local Fund Audit, Sikkim
DPR	Detailed Project Reports
FFC	Fourteenth Finance Commission
GOS	Government of Sikkim
GP/GPU	Gram Panchayat/Gram Panchayat Unit
GRS	Gram Rojgar Sahayak
LFA	Local Fund Audit, Sikkim
MoRD	Ministry of Rural Development
MC	Municipal Council
OSR	Other Source Revenue
PAA	Panchayat Accounts Assistant
PDA	Panchayat Development Assistant
PRI	Panchayati Raj Institutions
RLB	Rural Local Bodies
SFC	State Finance Commission
SJSRY	Swarna Jayanti Sahari Rozgar Yojana
SPWD	Sikkim Public Works Department
SSR	Sikkim Service Rules, 1979
TFC	Thirteenth Finance Commission
ULB	Urban Local Bodies
VAA	Village Administrative Assistant
VAC	Village Administrative Centre
ZP	Zilla Parishad/Panchayat

OVERVIEW

Under the Sikkim Local Fund Audit Act, 2012 the Director of Local Fund Audit, Sikkim is made in charge of the audit of the funds of the Panchayati Raj Institutions as specified in the Schedule prescribed in the said Act.

The Department conducts post audit of the Panchayati Raj Institutions and prepares Audit Reports consisting of defects noticed during the audit is issue to the Chief Executive Officer of the institutions concerned who has to take action for rectifying the defects pointed out during the audit.

During the year 2020-21, the Directorate of Local Fund Audit audited the accounts of Local Bodies pertaining to the financial year 2018-19 to 2019-20 as shown in the above table.

Sl. No	Name of the Institution	Total Units	District wise Units covered by DLFA during 2019-20					
			East	West	North	South	Total	%
1.	Gram Panchayat Unit	185	14	0	14	0	28	15.30
2.	Municipal Corporation	1	0	0	0	0	0	0.00
3.	Municipal Council	3	0	0	0	0	0	0.00
4.	Nagar Panchayat	3	2	0	1	0	3	100.00
5.	Zilla Panchayat	4	0	0	0	0	0	0.00
	Total	196	16	0	15	0	31	15.82

Under the Local Fund Audit Act, the Director, Local Fund Audit, Sikkim is vested with the power of disallowing any item of the expenditure incurred contrary to the law and surcharge penalties to the person incurring or authorizing such expenditure. The Director is also required to submit annually a Consolidated Audit and Review Report on the accounts of Local Bodies to the State Government for laying in the Sikkim Legislative Assembly.

CATEGORISATION OF AUDIT OBSERVATIONS

During the course of audit various irregularities were noticed and are broadly segregated under different categories and the same were reported to the Executive Authorities as detailed below in order to facilitate prompt remedial action from their end.

1. Non adherence/violation of rules
2. Unadjusted Advances
3. Excess payments
4. Irregularities in execution of works
5. Non-production of records
6. Non-remittance of deductions / recoveries made into State Government Treasury.
7. Non-utilization of grants within the time frame.
8. Wasteful expenditure
9. Inadmissible expenditure
10. Doubtful expenditure
11. Other observations
 - ✓ The category wise and institution wise numbers of audit objections raised during the year are shown in Statements appended herewith in respective institutional reports.
 - ✓ On receipt of replies to the defects pointed out in the earlier reports which were duly supported by relevant records / documents, the audit objections were settled wherever the replies were found to be satisfactory. The Audit Reports contain the details of number of audit objections pending settlement at the close of the audit.
 - ✓ The gist of selected audit objections pertaining to Panchayati Raj Institutions and Municipalities which were raised during the year 2018-19 & 2019-20 are also included in the respective parts of the report.
 - ✓ The audit paras selected for inclusion in the Annual Consolidated Audit & Review Report present a glimpse of financial administration being practiced in the Local Authorities.

COMMON OBSERVATIONS

There are some observations that are frequently observed in almost all PRIs / Municipalities which are recorded below. These observations are key for recording books of accounts but many of the Institutions have neglected to comply with the required standing norms and instructions resulting in recurrence of such observations in every audit period. Despite being noticed by Audit and informed to the concerned institutions time and again, the cases are still prevailing.

Moreover, the detail references of these observations are kept in Directorate of Local Fund Audit for future references. The concerned offices are therefore suggested to understand and take note of the common observations and are required to avoid such irregularities in future.

Various categories of common observation noticed by audit are as under:

1. The prescribed Accounting System are not followed
2. Improper maintenance of Cash Book
3. Non preparation/Late preparation of annual and supplementary budgets or non compliance of budget while incurring expenditure.
4. Monthly Reconciliation with Bank was not done.
5. Misutilization of Discretionary Grants.
6. Irregular payment of Honorarium.
7. Non Deduction of GST etc. at source.
8. Improper maintenance of Vouchers.
9. Non maintenance of Advance Register.
10. Excess Expenditure of administrative component of 14th FC Grant.
11. Cheque drawn in favour of President, Secretary and other Staff.
12. Delay in deposit of receipts.
13. Improper maintenance of books of accounts.

SCOPE OF AUDIT

1. The Local Fund Audit Division has been statutorily entrusted with the authority to verify the following aspects during the course of post audit of the Panchayati Raj Institutions and Municipalities viz., Gram Panchayats, Zilla Panchayat, Municipal Council and Municipal Corporation.
 - a. Whether the taxes, fees etc., collected by the Panchayati Raj Institutions/ Municipalities were properly accounted for with full details in the books of accounts of the body concerned.
 - b. Whether adequate care is taken up periodically to check up the funds with the Treasury or Bank.
 - c. Whether the expenditure incurred was provided for in the Budget of the Panchayati Raj Institutions/ Municipalities concerned and duly sanctioned by the competent authority under the Act / Rules or any Executive Instructions by the Government.
 - d. Whether the funds were utilized only for the permitted purposes prescribed under the respective Panchayat/ Municipalities Act / Rules.
 - e. Whether the procedure prescribed by the Government in incurring the expenditure/ payments made is properly followed and accounted for with due classification in the books of accounts.
 - f. Whether the required vouchers for the expenditure incurred were maintained.
 - g. Whether grants received from different sources were properly accounted for and utilized for the purposes for which they were meant.

INSTITUTIONS AUDITED

1. During the year 2020-21 the following Local Bodies were audited by the Local Fund Audit:

Sl. no	Local Bodies	No. of Institutions audited
1.	Gram Panchayat	28
2.	Nagar Panchayat	03
	Total	31

1.1. Gram Panchyat Units

Sl. no	Gram Panchayat Unit(GPU)	Block (BAC)	Financial Years Audited
1.	Kabi Rongpa	Kabi	2018-19 to 2019-20
2.	Lingchom Tingda		2018-19 to 2019-20

3.	Phensong		2018-19 to 2019-20
4.	Men Rongong		2018-19 to 2019-20
5.	Rongong Tumlong		2018-19 to 2019-20
6.	Navey Shotak		2018-19 to 2019-20
7.	Lingdok Nampong		2018-19 to 2019-20
8.	Rhenock	Rhenock	2018-19 to 2019-20
9.	Tarpin		2018-19 to 2019-20
10.	Sudunglakha		2018-19 to 2019-20
11.	Rakdong Tintek	Rakdong Tintek	2018-19 to 2019-20
12.	Patuk singbel		2018-19 to 2019-20
13.	Samdong kambal		2018-19 to 2019-20
14.	Tumin		2018-19 to 2019-20
15.	Latuk Barapathing	Parakha	2018-19 to 2019-20
16.	Linkey Parakha		2018-19 to 2019-20
17.	Rewa Machong		2018-19 to 2019-20
18.	Luing Parbing	Ranka	2018-19 to 2019-20
19.	Ranka		2018-19 to 2019-20
20.	Rey Mindu		2018-19 to 2019-20
21.	Rawtey Rumtek		2018-19 to 2019-20
22.	Mangshila Tibuk	Mangan	2018-19 to 2019-20
23.	Tingchim Chadey		2018-19 to 2019-20
24.	Ringhim Nampatam		2018-19 to 2019-20
25.	Singhik		2018-19 to 2019-20
26.	Toong Naga		2018-19 to 2019-20
27.	Ramthang Tanegyek		2018-19 to 2019-20
28.	Namook Swayem		2018-19 to 2019-20

1.2. Nagar Panchayat

Sl. No.	Name of Municipalities	Financial Years Audited
1.	Mangan Nagar Panchayat	2018-19 to 2019-20
2.	Singtam Nagar Panchayat	2018-19 to 2019-20
3.	Rangpo Nagar Panchayat	2018-19 to 2019-20

SOURCES OF FUND OF THE GRAM PANCHAYAT UNITS

Under sub-rule 3 of Rule 3 of The Sikkim Panchayat (Financial) Rules, 2003 notified vide No. 35(159)/93-94/RDD/P-III/33 dated 10-07-2003, states that the account shall be maintained in the name and style of “Panchayat Fund” duly prefixing the name of the Panchayat and jointly operated. The Panchayat fund constitutes self-generated fund and Grant-in-Aids. The pattern of all the constituents of Panchayat Fund is not uniform, though Annual Accounts contains all such constituents. The position is given below:

Sl. No .	Constituent of GP Fund	Remarks on post audit
1.	General Fund	Post Audit is conducted by the Director of Local Fund Audit and the consolidated Report is being placed on the table of Legislative Assembly.
3.	Central Finance Commission Grants	-do-
4.	State Finance Commission Grants	-do-

SOURCES OF FUND OF THE MUNICIPALITIES

The State/Central Governments provide grants to the Municipalities to implement schemes entrusted to them and also for over all development of the area under their jurisdiction.

RECEIPTS AND PAYMENTS (2018-19 & 2019-2020)

1. Gram Panchayat

The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2018-19 & 2019-20 by the Gram Panchayats audited during the period. The details of gross Receipts and Payments are shown in the **Annexure No. I** with reference to the Gram Panchayats.

1.1 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Gram Panchayats audited during the year for the financial year 2018-19 are **Rs. 15,03,38,510/-and Rs. 8,44,91,356/-** respectively.

1.2 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Gram

Panchayats audited during the year for the financial year 2019-20 are **Rs. 26,83,68,089/- and Rs.12,73,35,674/-** respectively.

2. Nagar Panchayat

The Receipts and Payments are inclusive of the various grants received from Central and State Government during the year 2018-19 and 2019-20 by the Nagar Panchayat audited during the period. The details of Gross Receipts and Payments are shown in the **Annexure No. II** with reference to the Nagar Panchayat.

2.1 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Nagar Panchayats audited during the year for the financial year 2018-19 are **7,58,90,188/-5,49,28,515/-** respectively.

2.2 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Gram Panchayats audited during the year for the financial year 2019-20 **Rs.11,52,13,398/-9,09,05,029/-** respectively.

However, non production of Bank Statements of some auditing financial years by some of the GPUs and BACs, audit team could not ascertain the actual aggregate receipts and payments relating to Gram Panchayat Fund.

During the course of audit of Gram Panchayats and Nagar Panchayats for the year 2018-19 to 2019-20, the defects noticed were already pointed out in the relevant Audit Reports, as “Audit Observations” which were forwarded to the Chief Executive Authorities concerned for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act, 2012.

PART-I

AUDIT PARAS OF GRAM PANCHAYATS

The Audit Observations of Gram Panchayat units raised for the financial year 2018-19 and 2019-2020 audited during the year 2020-21 under report is enumerated below:-

1. NON ADHERANCE TO RULES

1.1. Improper maintenance of vouchers

1.1.1. Namok Swayem Gram Panchayat under Mangan BAC

According to Sikkim Gram Panchayat Financial Rules 2001, a person entrusted with the payment of money shall obtain for every payment he makes, a voucher setting forth full and clear particulars of the claim and all information necessary for its proper classification and identification in the accounts.

Scrutiny of records for the period 2019 to 2020 revealed that the Gram Panchayat had not prepared the vouchers in the prescribed format as indicated in the financial rules and Gram Panchayat manuals and kept proper record by way of preparation of vouchers in the prescribed format duly indicating pass order of the competent authority against each payment.

1.1.2. Singhik Sentam Gram Panchayat under Mangan BAC

According to Sikkim Gram Panchayat Financial Rules 2001, a person entrusted with the payment of money shall obtain for every payment he makes, a voucher setting forth full and clear particulars of the claim and all information necessary for its proper classification and identification in the accounts.

Scrutiny of records for the period 2019 to 2020 revealed that the Gram Panchayat had not prepared the vouchers in the prescribed format as indicated in the financial rules and Gram Panchayat manuals and keep proper documentation by way of preparation of vouchers in the prescribed format and also indicate pass order of the competent authority against each payment.

1.1.3. Linkey Parakha Gram Panchayat under Parakha BAC

According to Sikkim Gram Panchayat Financial Rules 2001, a person entrusted with the payment of money shall obtain for every payment he makes, a voucher setting forth full and clear particulars of the claim and all information necessary for its proper classification and

identification in the accounts.

Scrutiny of records for the period 2018 to 2020 revealed that the Gram Panchayat had not prepared the vouchers in the prescribed format as indicated in the financial rules and Gram Panchayat manuals.

Sr. No.	Particulars	Chq No / Date	Amount	Remarks
1.	Paid to Dawa Rinzing Bhutia for ODF board painting and wall painting from OSR	572752/ 18.7.19	37500	Payments made on hand receipts. Vouchers not created.
2.	Paid to Om Prakash Sharma for 3 nos of ODF boards from OSR	572753/ 22.7.2019	10500	Vouchers not created.
3.	ODF Painting	572754/ 22.7.2019	9390	Vouchers not created.
	TOTAL		57390	

1.1.4. Ramthang Gram Panchayat (Mangan): Cheques drawn in favour of President/Secretary and staff

According to Sikkim Gram Panchayat Financial Rules 2001, no money shall be drawn from the Bank unless it is required for immediate disbursement, in anticipation of demands. So, money may not have been withdrawn from the Gram Panchayat Account except by presentation of bills and the cheques had to be drawn in the name of payee.

However, it was seen that the Gram Panchayat had drawn a number of cheques in favour of the President/Secretary and staff instead of the payees. Hence the whole transactions became irregular and needs to be justified by the Gram Panchayat.

1.2. Non Compliance to Rules on execution of works/supply of goods

The Gram Panchayats had executed various works, procured materials for works and also purchased different items for distribution to the general public. The general procedure for execution of any work from the Gram Panchayat fund, as per the Sikkim Public Works, Codes and Manual and Gram Panchayat Development Plan Implementation Manual prescribed by the nodal department i.e. Rural Development Department. Hence the Gram Panchayat Development Plan implementation manual is thus a simplified procedure for

execution of works by Gram Panchayats wherein the procedure for execution of works by Gram Panchayats as stated in Gram Panchayat Development Plan Implementation Manual is illustrated as under:.

- a. In accordance to the annual plan and provision made in the sanctioned budget, Gram Panchayat may obtain the administrative approval for execution of any work within its jurisdiction from compitant authority.
- b. The President of the Gram Panchayat may forward the same to the engineering cell of BAC through Block Development Officer for drawl of estimate with Technical Sanction.
- c. NIT is floated for the works above Rs. 1.00 lakhs in local news papers/notice boards for obtaining lowest bidder. The tender process generally followed is that , the lowest bidder's tender is accepted for execution of work by the tender committee.
- d. Issuance of work order and drawl of agreement in the prescribed formats are done in coordination with engineering cell in the BAC and the concerned Panchayat.
- e. After completion of work,or or during the progress of work as the case may be , the concerned Junior Engineer prepares bill in the prescribed format after taking measurement of work and entering in the measurement Book duly showing the details of work including progress of work . The bill must be supported by MR form, completion certificate, NOC from vigilance committee formed by Gram panchayat and other necessary certificates.
- f. On receipt of bill at Gram Panchayat Office with all details, the President submits the file to the Block Development Officer for calculation and verification of necessary deductions/taxes and 'pass order' in MB and bills from the competent authority for release of payment from Gram panchayat.
- g. The file along with MB and all details is forwarded to the President concerned for release of payment to the contractor and other payment deducted from the bill to be immediately deposited in the relevant accounts. The drawl of cheque must follow the 'pay order' from the president at Gram Panchayat level indicating cheque number and date in each payment both in MB and bills. The payment must be recorded in Work Register also.
- h. All the above procedure are to be narrated in the note sheets of the concerned work file also.

On scrutiny of records it was revealed that the Gram Panchayats had attempted to follow

the above procedures but still some discrepancies were noticed to the works executed during the period of audit i.e. 2018-19 to 2019-2020 which may not be repeated in future practice.

Some of the works executed by each Gram Panchayat and irregularities that were noticed during the test check of records by audit are given below:

1.2.1. Kabi Rongpa Gram Panchayat under Kabi Tingda BAC

Sl. No.	Particulars	Sanctioned Amount
1.	Const. of Sansari puja house at Tingmo Loop	2,60,000/-
2.	Repair of RWSS work from Chuba to Tingmo.	1,71,000/-
3.	Const. of box drain at RonGram Panchayata Cholung.	1,80,000/-

- a. TDS and GST deduction are the source of government revenue which needs to be deducted and credited in the government as per the prescribed procedure. On scrutiny of records It was seen that the amount was deducted from the bill of contractors but the same was not deposited in govt account till date which is highly irregular practice in the Gram Panchayat .

1.2.2. Lingchom Tingda Gram Panchayat under Kabi Tingda BAC

Sl. No.	Particulars	Sanctioned Amount
1.	Cost of protective wall at Kharshuk.	1,30,000/-
2.	Water tank source and water storage tank at Doksing, main water source at Lower Lingchom.	1,30,000/-
3.	Development repairing of Mom Cholung water tank and source and supply of water to Singithang.	1,30,000/-
4.	Repair of CC foothpath from NSH to Talay khim and Thoithang at Upper Tingda.	1,30,000/-
5.	Water supply work from Lee Dara to Ari school and Gairee.	1,30,000/-

- a. Issuance of Measurement Book is not as per the Sikkim public code & manual as it was not mentioned and certified that to whom the MB was issued. This information is very important to fix the accountability and responsibility of the person dealing with MB.
- b. Pay order by the Sabhapati before issuance of cheque has to be mentioned in the bill and

measurement book for every payment. with cheque number and date which was not done.

- c. TDS and GST deduction are the source of government revenue which needs to be deducted and credited in the government as per the prescribed procedure but was deducted from the bills of contractors but the same was not deposited in govt account till date.

1.2.3. Lindok Nampong Gram Panchayat under Kabi Tingda BAC

Sl. No.	Particulars	Sanctioned Amount
1.	Const. of foot bridge at middle Takul Khola	15,00,000/-
2.	Earth levelling at Pangthang Govt. JHS.	2,37,500/-
3.	Const. of EEFP Pangthang Dispensary to Dufung village.	2,00,500/-
4.	Jhora training work below the house of Savitri Acharya.	1,75,500/-

- a. Issuance of Measurement Book is not as per the code & manual as it was not mentioned and certified that to whom the MB was issued. This information is very important to fix the accountability and responsibility of the person dealing with MB.
- b. Technical sanction is mandatory before execution of any work but the same was not obtained for the above-mentioned works.
- c. Pass order was given without verifying the deductions as required. The passing authority must ensure proper deductions of govt revenue and necessary taxes before giving pass order in the MB and bills. Proper format of pass order in the MB and bills needs to be adopted.
- d. TDS and GST deduction are the source of government revenue which needs to be deducted and credited in the government as per the prescribed procedure. On scrutiny of records It was seen that the amount was deducted from the bill of contractors but the same was not deposited in govt account till date.

1.2.4. Menrongong Gram Panchayat under Kabi Tingda BAC

Sl. No.	Particulars	Sanctioned Amount
1.	Const. of protective wall at SSA School (Mallam).	2,80,000/-
2.	Const. of water pipe line from Kung Khola to Men-Rongong.	2,96,000/-
3.	Const of CCFP from Chawang school to Chawang Gumpa.	2,86,000/-

- a) Pass order was given without verifying the necessary deductions as required. The passing authority must ensure proper deductions of govt revenue and necessary taxes before giving pass order in the MB and bills. Proper format of pass order in the MB and bills needs to be adopted.
- b) Pay order by the Sabhapati in the bills and measurement books before issuance of cheque was missing.
- c) TDS and GST deduction are the source of government revenue which needs to be deducted and credited in the government account as per the prescribed procedure. The deducted amount of taxes from the bills of contractors was not deposited in govt account till date.
- d) File note sheets of the works were not clear and complete.

1.2.5. Navey Shotak Gram Panchayat under Kabi Tingda BAC

Sl. No.	Particulars	Amt Sanctioned
1.	Const. of CCFP from Penlong bazar to PMGSY road at Penlong.	7,16,000/-
2.	Const. of 1 st floor of VAC Penlong.	13,62,000/-

- a. Issuance of Measurement book is not certified for the above-mentioned work.
- b. File processing for tender process not included in note sheet.
- c. TDS and GST deduction from the bills of contractors was not deposited in Govt account till date.

1.2.6. Phensong Gram Panchayat under Kabi Tingda BAC

Sl. No.	Particulars	Sanctioned Amount
1.	Fencing work at Phensong Sec. School.	60,000/-
2.	Construction of crematorium shed at Labi.	3,00,000/-

- i. TDS and GST deduction are the source of government revenue which needs to be deducted and credited in the government account as per the prescribed procedure. On scrutiny of records It was seen that the amount was deducted from the bills of contractors but the same was not deposited in govt account till date.
- ii. Pay order by the Sabhapati in the bills and measurement books before issuance of cheque was missing.
- iii. Noting in the file of concerned works was incomplete.

1.2.7. Rongong Tumlong Gram Panchayat under Kabi Tingda BAC

Sl. No.	Particulars	Sanctioned Amount
1.	Const. of protective wall at Chorten U. Labray.	1,72,500/-
2.	Repair of RWSS work at lower Phodong.	1,72,500/-
3.	Const. of CCFP at Lower Rongong.	1,72,500/-
4.	Construction of RWSS from B9 to Lower Tumlong.	5,97,000/-

- The note sheets of concerned work file was incomplete. In this case, the procedure such as Tender/ NIT, comparative statement, issuance of work order and proposal of bill payment etc. was not mentioned in file.
- Pay order by the President in the bills and measurement books before issuance of cheque was not mentioned at the time of release of payment for the above works.
- TDS and GST deduction are the source of government revenue which needs to be deducted and credited in the government account as per the prescribed procedure but the deducted amount from the bills of contractors was not deposited in govt account till date.

1.2.8. Patuk Singbel Gram Panchayat under Rakdong Tinek BAC

Sl No.	Particulars	Amount (Rs)
1.	Payment for repair of RWSS in Singbel ward 2018-19	5,00,000/-
2.	Payment for Water Harvesting tank 2018-19	5,60,000/-

- TDS and GST deduction are the source of government revenue which needs to be deducted and credited in the government account as per the prescribed procedure but the deducted amount from the bills of contractors was not deposited in govt account till date.
- Pay order by the president before issuance of cheque has to be mentioned in the bill and measurement book for every payment, but such practice was not found in the above works.

1.2.9. Rakdong Tintek Gram Panchayat under Rakdong Tintek BAC

Sl No.	Particulars	Sanction Amount	Scheme
1.	Construction of RMC at Jordang Golai	4,71,012/-	FFC

Sl No.	Particulars	Sanction Amount	Scheme
2.	Development of CCFP at 4/Tintek	4,71,108/-	FFC
3.	Construction of RCC Bridge at Kik Khola	3,22,185/-	FFC
4.	Construction of mid day meal Kitchen at 4/Tintek	3,28,803/-	SFC
5.	Construction of RRC Bridge at Kik Khola	1,20,527/-	FFC
6.	Construction of fencing work around School Ground at Rakdong Tintek JHS	5,13,000/-	FFC
7.	Payment for awareness programme	1,10,000/-	FFC

- Payment vouchers for the above works were not enclosed.
- Abstract of work & abstract of payment not seen in Measurement Book.
- Passed order and Pay order in Measurement Book were not found.
- Proper channel not followed for approval & sanction of works, work files not routed through BAC for pass order and verification of taxes and other deductions as prescribed.

1.2.10. Samdong Kambel Gram Panchayat under Rakdong Tintek BAC

Sl No	Particulars	Cheque No. & Date	Sanction Amount	Scheme
1.	Payment to Contractor Kumar Gautam for construction of waiting shed at Raley Zero point	015696/29.12.2018	2,00,000/-	FFC

- The work details such as name of work, amount sanctioned, date of commencement and completion, name of contractor etc are to be mentioned properly and clearly in the measurement book by the concerned Junior Engineer. The same is found incomplete in above mentioned work.
- As per the Gram Panchayat Development Plan Implementation Manual, wherein it is clearly mentioned that the Accounts of BAC shall determine the necessary govt deductions and applicable taxes from the bills. Hence, the passing authority must ensure proper deductions of govt revenue and necessary taxes before giving pass order in the MB and bills. Proper format of pass order in the MB and bills needs to be adopted.
- Pay order by the president in the measurement books and bills before issuance of cheque is to be mentioned which was not done in this case.

1.2.11. Tumin Gram Panchayat under Rakdong Tintek BAC

SI No	Particulars	Sanction Amount
1.	Const. of CCFP at Middle Tumin in 2018-19	2,30,000/-
2.	Repairing of RWSS at Tumin Shaley in 2019-20	1,80,000/-
3.	Construction of MIC at Tumin	1,50,000/-

- Labour clearance was not obtained.
- Incomplete entries found in MBS
- Pass order and pay order were not obtained.
- Deductions were not credited in Government account.

1.2.12. Tarpin Gram Panchayat under Rhenock BAC

Sl. No.	Particulars	Sanctioned Amount
1.	Construction of RWSS Man Baraily goan to Burathoki goan and Khatiwara goan Salghari.	15,39,800/-
2.	Construction of crematorium shed at Mandir dara under Tarpin Gram Panchayat	3,50,000/-

- a. The work details such as name of work, amount sanctioned, date of commencement and completion, name of contractor etc are to be mentioned properly and clearly in the measurement book by the concerned Junior Engineer. The same is found incomplete in above mentioned works.
- b. As per the Gram Panchayat Development Plan Implementation Manual, wherein it is clearly mentioned that the Accounts of BAC shall determine the necessary govt deductions and applicable taxes from the bills. In this case, pass order was given without verifying the deductions as required. Hence the passing authority must ensure proper deductions of govt revenue and necessary taxes before giving pass order in the MB and bills. Proper format of pass order in the MB and bills needs to be adopted
- c. Pay order by the Sabhapati in the bill and measurement book before issuance of cheque is necessary which was also missing in above works.

1.2.13. Sudunglakha Gram Panchayat under Rhenock BAC

Sl. No.	Particulars	Sanctioned Amount	Scheme
1.	Construction of village marketing centre at Suntaley Darpaney.	5,91,000/-	FFC
2.	Repair of RWSS from Gurung khola to Gurung goan.	3,15,500/-	FFC

- Details of works not mentioned properly in M.B
- Payment details was not verified. In this case, pass order was given without verifying the deductions as required. Hence the passing authority must ensure proper deductions of govt revenue and necessary taxes before giving pass order in the MB and bills. Proper format of pass order in the MB and bills needs to be adopted.
- Pay order by the president in the bill and measurement book before issuance of cheque has to be mentioned for every payment which was missing in above payments.
- Work Register was not maintained by the Gram Panchayat .

1.2.14. Rhenock Gram Panchayat under Rhenock BAC

Sl. No.	Particulars	Sanctioned Amount
1.	Repair and maintenance of RWSS and construction of community water tank at Dev. Area.	5,17,000/-
2.	Construction of CCFF from Center Bhuktal gaon to M.B Chettri,s house at camping ground ward.	3,00,000/-
3.	Repair of community toilet at Rhenock dharamsala.	2,10,000/-
4.	RWSS at Chalampong ward.	3,00,000/-

- As per the Gram Panchayat Development Plan Implementation Manual, wherein it is clearly mentioned that necessary govt deductions/revenue and applicable taxes must be verified from the bills. In this case, pass order was given without verifying the deductions as required. Hence the passing authority must ensure proper deductions of govt revenue and necessary taxes before giving pass order in the MB and bills. Proper format of pass order in the MB and bills needs to be adopted.
- The work details such as name of work, amount sanctioned, date of commencement

and completion, name of contractor etc are to be mentioned properly and clearly in the measurement book by the concerned Junior Engineer. The same is found incomplete in above mentioned works.

- c. Pay order by the president in the bills and measurement books before issuance of cheque has to be mentioned which was not done in above cases.

1.2.15. Latuk Gram Panchayat under Parkha BAC

The following irregularities were found during the scrutiny of records of below mentioned works by Gram Panchayat:

- a. As per the prevailing rules, for purchase/supply of materials exceeding Rs 1,00,000/-. The Gram Panchayat should go through the tender process but the Gram Panchayat had neither followed the tender process nor called quotation.
- b. Progress of work was not recorded in Measurement Book and was not certified by concerned authority.
- c. The measurement books were not certified by the concerned Officer.
- d. Pay order and Pass order not recorded in Measurement Book.
- e. Files not routed through BAC.
- f. Tax and other recoveries not deducted as per guidelines.
- g. Supply bill for procurement of material for the works were not certified by the concerned officers.
- h. Payment vouchers not created
- i. Measurement book not produced

Sl No	Particulars	Sanctioned Amount (Rs)	Remarks
1.	Construction of Yogshala	480000	(e), (f), (h), (i)
2.	Repair of Mid day meal kitchen at Pheri	103300	(b, c) (e) (f) (h)
3.	Repair of ICDS at Thek	100000	(e) (f) (h) (i)
4.	CCFP from PWD road to Durga Mandir at Barapathing	230000	-do-
5.	RWSS at Pheri PS	250000	-do-
6.	Repair of RWSS from Ghatay khola to Chochenpheri	250000	(a) (e) (f) (h) (i)

1.2.16. Linkey Parakha Gram Panchayat under Parkha BAC

The following irregularities were found during the scrutiny of records of below mentioned works by Gram Panchayat:

- a. As per the prevailing rules, for purchase/supply of materials exceeding Rs 1,00,000/-. The Gram Panchayat should go through the tender process but the Gram Panchayat had neither followed the tender process nor called quotation.
- b. Progress of work was not recorded in Measurement Book and was not certified by concerned authority.
- c. The measurement books were not certified by the concerned Officer.
- d. Pay order and Pass order not recorded in Measurement Book.
- e. Tax not deducted.
- f. Supply bill for procurement of material for the works were not certified by the concerned officers.

Sl No	Particulars	Chq/ Date	Amount (Rs)	Remarks
1.	Construction of RWSS from Sash botay source to Rai Gaon	042940/ 25.8.2018	232341/-	Improper maintenance of MB. NIT not found.
2.	Cosntruction of footpath railing at Linkey PHSC	066079/ 13.5.2020	130000/-	Improper maintenance of MB. Tax not deducted.

1.2.17. Rewa Machong Gram Panchayat under Parkha BAC:

The following irregularities were found during the scrutiny of records of below mentioned works by Gram Panchayat:

- a) As per the prevailing rules, for purchase/supply of materials exceeding Rs 1,00,000/-. The Gram Panchayat should go through the tender process but the Gram Panchayat had neither followed the tender process nor called quotation.
- b) Progress of work was not recorded in Measurement Book and was not certified by concerned authority.
- c) The measurement books were not certified by the concerned Officer.
- d) Pay order and Pass order not recorded in Measurement Book.

- e) Refund of Security Deposit not recorded in Measurement Book.
- f) Files not routed through BAC.
- g) Tax and other recoveries not deducted as per guidelines.
- h) Supply bill for procurement of material for the works were not certified by the concerned officers.

Sl No.	Particulars	Sanctioned Amount (Rs)	Remarks
1.	Construction of cabin for office staff at Gram PanchayatK	1,08,400/-	MB not maintained properly. Tax not paid. MB not produced.
2.	Repair of school hall at Rekyap	1,05,000/-	MB not produce. Tax not paid. Payment voucher not created.
3.	Renovation and extension of hall at Gram PanchayatK	1,08,000/-	-do-
4.	-do-	2,48,000/-	-do-
5.	Repair of water source at Rewa ward	2,60,000/-	Pass order by BAC not found. Pay order by Panchayat not found. GST deducted but not deposited. MB not produced.
6.	Construction of RWSS at Rewa	1,95,000/-	-do-

2. UNADJUSTED ADVANCES

2.1. Drawl of advance regarding:

Advance Register is an important record to pursue the advances given by Gram Panchayat for various purposes. However, Audit noticed that the Gram Panchayat s were in

practice of drawing advances but not maintained 'advance register' for its record which creates doubt about its proper utilization and adjustment. The advance payment is not treated as actual expenditure unless it is adjusted with details payment vouchers.

Audit advised to the Gram Panchayat s to reduce practice of payments in advance unnecessarily except in few genuine cases and make necessary entry in an advance register while drawing advance payment.

Some of the advance payment made by Gram Panchayat is given below:

2.1.1. Rhenock Gram Panchayat under Rhenock BAC

Details of drawl of advances during 2018-2019 and 2019-2020

Sl. No.	Cheque No./date	Amount	Particulars
1.	047848/25.06.2019	60000/-	Advance payment for health camp
2.	047849/25.06.2019	70000/-	Advance payment for Sajriti van 4 th SFC
3.	047850/25.06.2019	30000/-	Advance payment for Swatch Bharat Mission
4.	047851/25.06.2019	75000/-	Advance payment for Organic mission 14 th FC
5.	047852/25.0.2019	150000/-	Advance for Skill development training 14 th FC
6.	047853/25.06.2019	100000/-	Advance for Health Awareness camp SNOP
7.	044119/25.09.2019	96000/-	Advance for Skill development training

3. NON PRODUCTION OF RECORDS

According to the prevailing Sikkim Gram Panchayat financial Rule, it is not sufficient that an officer's account should be correct to his own satisfaction. A disbursing Officer has to satisfy not only him, but also the audit, that a claim which has been accepted is valid, that a voucher is a complete proof of the payment which it supports, and that the account is correct in all respects. It is necessary that all account should be so kept and the details so fully recorded as to afford the requisite means of satisfying any enquiry.

It is further essential that the records of payment must be clear and self-contained to be producible as satisfactory and convincing evidence of facts, if required, in a court of law. However, the following Gram Panchayat s failed to produce required records to the audit:

3.1. Rhenock Gram Panchayat under Rhenock BAC: Non production of payment vouchers

Details of payments without payment vouchers under OSR is as below:

Sl.No.	Cheque no./date	Amount	Particulars
1.	031038/4.06.2018	15,000/-	Maintenance of Gram Panchayat toilet
2.	031081/11.06.2018	8,000/-	Maintenance of Gram Panchayat asset
3.	036285/5.09.2018	12,000/-	Maintenance of Gram Panchayat asset
4.	036286/10.09.2018	15,000/-	Maintenance of Gram Panchayat asset
	Total	50,000/-	

3.2. Rongong Tumlong Gram Panchayat Under Kabi BAC: Non production of payment vouchers

Details of payments without payment vouchers under OSR is as below:

Sl. No.	Particulars	Cheque no./date	Amount
1.	Payment of panchayat honorarium.	120397/03.12.2019	55,500/-
2.	Payment of panchayat honorarium.	120401/24.12.2019	55,500/-
3.	Payment of panchayat honorarium.	120409/03.02.2020	55,500/-

3.3. Patuk Singbel Gram Panchayat under Rakdong Tintek BAC

A voucher is a complete proof of the payment. It is mandatory to prepare a payment voucher with supporting documents for the payment of any money from the Panchayatt account.

The following plantation works were carried out in the financial year 2019-20 but no supporting documents were produced.

Sl No.	Particulars	Chq No/Date	Amount (Rs)
1.	Payment for Banana Plantation at Patuk	162030/11.07.2019	16,600/-
2.	Payment for Banana Plantation	162032/11.07.2019	24,900/-
3.	Payment for Banana Plantation	162033/11.07.2019	24,900/-
4.	Payment for Banana Plantation	162034/11.07.2019	16,600/-

3.4. Samdong Kambel Gram Panchayat under Rakdong Tintek BAC

The Gram Panchayat has organized study tour of 26 members including all Gram

Panchayat office staff and organic progressive farmers to organic farm at Palampur Himachal Pradesh w.e.f. 01.12.2018 to 09.12.2018. The tour was conducted by obtaining quotations from registered Tours & travels wherein the Kongchan Tours & travels had quoted the lowest and accordingly paid an advance of Rs 3,65,976/- vide cheque No. 015680 with the approval of Panchayat President. On scrutiny of record the audit observed that:

- a. The tour destination is outside the State, hence necessary approval of the government had to be obtained through the nodal department which could not be seen in records.
- b. The list of visiting individuals and separate list of staff and farmers was not produced by the Gram Panchayat .
- c. It is inconceivable that the entire staff of the Gram panchayat were sent for study tour of organic farming creating unnecessary liability to the Gram Panchayat fund.
- d. The payment was made in advance to a private party on the basis of quotation instead of obtaining invoice. The advance paid before tour was not settled till the date of audit (October,2020).
- e. The Gram Panchayat could not produce voucher and other records except file note sheets.

3.5. Rewa Machong Gram Panchayat under Parakha BAC- Rs 1139834/-

As per Para 11 of Sikkim Panchayat (Financial) Rules 2001 - It shall be the duty of subordinate authority to get its accounts audited by auditors whenever called upon to do so by the State Government and the Gram Panchayat in turn has to extend all assistance to the auditors' to facilitate examination of audit of accounts.

However, Gram Panchayat failed to produce permanent records i.e. paid vouchers, bills, files etc of the expenditure incurred before audit team. Non production of records cast doubt on proper utilization of public money. It was stated by the Sr VAA that all files and records were with AG office during the time of audit.

Following records was not produced before auditors for examination –

Sl. No.	Particulars	Chq no/ date	Amount
1.	TA bill in f/o Bhawani Sharma Sr VAA	079422/ 6.10.18	29450/-
2.	Reimbursement for stationeries in f/o Panchayat President	005942/ 29.11.18	15675/-
3.	Reimbursement for office expenses in f/o Panchayat President	005943/ 29.11.18	9163/-

Sl. No.	Particulars	Chq no/ date	Amount
4.	Supply bill in f/o Banwarilal Omkarmal	020331/ 28.8.19	427809/-
5.	Reimbursement for stationeries in f/o Panchayat President	020347/ 18.12.19	44731/-
6.	Reimbursement for misc expenses in f/o Panchayat President	066907/ 25.1.20	100073/-
7.	Reimbursement for Misc expenses in f/o Panchayat President	066908/ 12.3.20	94433/-
8.	Advance honorarium Jul - Dec 2019 (Advance for 3 months)	020338/ 27.9.2019	279000/-
9.	Advance honorarium Jan - Mar 2020 (Advance for 2 months)	066903/ 30.1.20	139500/-

It was observed that most of the payments were made in cash or through bearer cheque instead of account payee cheque.

4. NON UTILIZATION OF FUND IN TIME

4.1. Non-Utilization of grants/parking of fund

Government releases special grants to the local bodies for implementing specific schemes. These grants are to be utilized for the purposes for which they are meant for, duly following the relevant guidelines. On scrutiny by audit, it was revealed that Gram Panchayats kept huge sums of savings in the close of financial year. The money which should have been utilized in various developmental works remained parked in the various accounts. It shows failure of proper planning and inability to execute works in timely manner.

Details of fund remaining unutilized in following Gram Panchayats were as follows:

4.1.1. Phensong Gram Panchayat Under Kabi Tingda BAC

2019-20 the closing balance was Rs. 26,20,124/-

4.1.2. Rhenock Gram Panchayat under Rhenock BAC

In 2018-19, the closing balance in FFC/SFC account was Rs. 1,08,83,763/-

In 2019-20, the closing balance in FFC/SFC account was Rs. 1,69,24,397/-

The Gram Panchayat must ensure to utilize the funds provided for developmental works for public benefits and upliftment of their day to day life.

4.1.3. Ringhim Gram Panchayat under Mangan BAC

On scrutiny by audit, it was revealed that Gram Panchayat has huge sums of savings in the close of financial year. Scores of money which should have been utilized in various development works remained parked in various accounts as made evident in the figures given above in financial position. It shows failure of proper planning and inability to execute works in timely manner. Such instances of mismanagement of resources is highly objectionable which could have been easily avoided.

5. INADMISSIBLE EXPENDITURE

5.1. Unauthorized payment

5.1.1. Navey Shotak Gram Panchayat under Kabi Tingda BAC

As per Sikkim Financial Rules 1979, rule no. 28, No money shall be drawn from the bank unless it is required for immediate disbursement. It is not permissible to draw money from the bank in anticipation of demands. Contrary to the above rule Gram Panchayat has been drawing advance honorarium, which also resulted in loss of earning of interest.

On scrutiny of records it was revealed that Gram Panchayat was in the practice of drawing the Panchayat honorarium in advance. The details of advance honorarium drawn is as under:

Sl. No.	Cheque No./date	Amount	Particulars	Remarks
1.	002901/27.09.2019	2,79,000/-	Payment of Panchayat Honorarium for the month of July to December 2019	Advance for September to December 2019

5.1.2. Sudunglakha Gram Panchayat under Rhenock BAC

On scrutiny of records it was revealed that Gram Panchayat is in the practice of drawing the Panchayat honorarium in advance. Details of advance honorarium drawn:

Sl. No.	Cheque No./date	Amount	Particulars	Remarks
1.	059204/27.09.2019	2,79,000/-	Payment of Panchayat honorarium for the month of July to December 2019	Advance for Sept., Oct., Nov., and December 2019
2.	066043/24.01.2020	1,39,500/-	Payment of Panchayat honorarium for January to March 2020.	Advance drawn for Jan., Feb., and March 2020.

As per Sikkim Financial Rules 1979, rule no. 28, No money shall be drawn from the bank unless it is required for immediate disbursement. It is not permissible to draw money from the bank in anticipation of demands. Contrary to the above rule, Gram Panchayat has been drawing advance honorarium, which also resulted in loss of earning of interest.

5.1.3. Rhenock Gram Panchayat under Rhenock BAC

As per Sikkim Financial Rules 1979, rule no. 28, No money shall be drawn from the bank unless it is required for immediate disbursement. It is not permissible to draw money from the bank in anticipation of demands. Contrary to the above rule Gram Panchayat has been drawing advance honorarium, which also resulted in loss of earning of interest.

On scrutiny of records it was revealed that Gram Panchayat was in the practice of drawing the Panchayat honorarium in advance. The details of advance honorarium drawn is as under:

Sl. No.	Cheque No./date	Amount	Particulars	Remarks
1.	044113/23.09.2019	220500/-	Payment of Panchayat honorarium for the month of August to October 2019	Advance for Sept. and Oct. 2019
2.	047865/18.10.2019	220500/-	Payment of Panchayat honorarium for November to January 2020.	Advance drawn for Oct., Nov., Dec. and January 2020.
3.	062267/24.01.2020	220500/-	Payment of Panchayat honorarium for February to April 2020.	Advance drawn for Jan., Feb., Mar. and April 2020.

5.1.4. Rey Mindu Gram Panchayat under Ranka BAC: Irregular payment of VAA salary from Trade Licence/ Revenue Account - Rs 62,614/-.

On scrutiny by audit, it was revealed that Gram Panchayat has paid salary of Sr VAA from Revenue Account for the month of May 2019 subject to recoupment of the same whenever the fund is made available from parent department.

However, it was revealed to audit that till date (November 2020) no recoupment/ refund of the same has been made despite the fund being made available.

Gram Panchayat is advised to recoup/refund the said amount within four weeks time and intimate the same to the audit duly avoiding such practices in future.

6. DOUBTFUL EXPENDITURE

6.1. Rewa Machong Gram Panchayat under Parakha BAC - Repair of RWSS at Devithan Source to Upreti Gaon

Rewa Machong Gram Panchayat had executed the work “ Repair of RWSS at Devithan Source to Upreti Gaon” at Lossing at a sanctioned cost of Rs 260000/- through contractor as per the Gram PanchayatDP implementation Manual. On scrutiny of file and records by the audit, it was revealed that the work commenced on 5.12.2018 and completed on 15.12.2018 ie within 10 days. However, the materials such as cement and rod were procured only on 20.12.2018 vide invoice no 045 dated 20.12.2018, which is after the completion and handing

taking of work.

This indicates that either the work was not executed properly or the handing taking was done before the completion of work and paper works was done only for the purpose of drawl of money.

7. NON-REMITTANCE OF DEDUCTIONS/RECOVERIES FROM VOUCHERS/PAY BILLS/CONTINGENT BILLS

It was noticed during the audit that various deductions/recoveries were affected from the work bills/pay bills were not remitted to the Government or a part of them only were remitted in spite of statutory provisions which also include penalty as well as prosecution for non-adherence to the prescribed rules.

7.1. Mangshila Gram Panchayat under Mangan BAC: Transit Permit (Royalty Payment).

According to Sikkim Transit of Timber and other Forest Produce Rules 1999, no forest produce shall be moved into or from or within the state of Sikkim except by a transit permit issued by the concerned Divisional Forest Officer after satisfying himself that the forest produce was legally obtained and can be transported to another place from where it was located, stored or available. The Transit Permit shall be issued after levying a fee equal to the commercial rate of royalty for the forest produce. All transit permits shall be governed by the condition that the forest produce shall be taken to check post if it is in-route to destination as indicated in the transit permit for checking and examination by the forest officer.

Test check of paid vouchers pertaining to FY 2019 – 20 of various works revealed that Gram Panchayat made payments to the suppliers for the supply of sand & stones without obtaining the transit permit (royalty payment slip) from the suppliers. In the absence of necessary transit permit to vouch for the movement of sand & stones, the authenticity of the use of the said materials remained doubtful. Gram Panchayat's non-insistence on the suppliers for production of transit permit is highly irregular and against the Government rules & regulations.

7.2. Rawtey Rumtek Gram Panchayat under Ranka BAC: Non payment of Forest Royalty - Rs 11,187/-

According to Sikkim Transit of Timber and other Forest Produce Rules 1999, no forest produce shall be moved into or from or within the state of Sikkim except by obtaining a

transit permit issued by the concerned Divisional Forest Officer after satisfying himself that the forest produce was legally obtained and can be transported to another place from where it was located, stored or available. Test check of paid vouchers pertaining to FY 2018-19 and 2019 – 20 of various works revealed that Gram Panchayat has not paid Government dues pertaining to Forest Royalty amounting to Rs 11187/- till date. Gram Panchayat's non-payment of royalty is highly irregular and against the Government rules & regulations.

7.3. Luing Perbing Gram Panchayat under Ranka BAC: Non payment of Forest Royalty - Rs 3,572/-.

According to Sikkim Transit of Timber and other Forest Produce Rules 1999, no forest produce shall be moved into or from or within the state of Sikkim except by a transit permit issued by the concerned Divisional Forest Officer after satisfying himself that the forest produce if it is legitimately required to be transported to another place from where it was located, stored or available. Test check of paid vouchers pertaining to FY 2018-19 and 2019 – 20 of various works revealed that Gram Panchayat has not paid Government dues pertaining to Forest Royalty amounting to Rs 3572/- till date. Gram Panchayat's non-payment of royalty is highly irregular and against the Government rules & regulations.

8. MISCELLANEOUS

8.1. Rakdong Tintek Gram Panchayat under Rakdong Tintek BAC

8.1.1. Internal control mechanism in the Gram Panchayat

The Gram Panchayat is provided with enough manpower such as Rural Development Assistant/Village Administrative Assistant, Panchayat Accounts Assistant, PDA, IT Assistant, Barefoot Engineers and Office Attendants for smooth functioning of Gram Panchayat Office and its works. The VAA, PAA and PDA are entrusted to maintain accounts, data entry and maintenance of all records of the office. The works have been assigned to these officer and staff but proper work arrangement order had not been issued so far. It is felt by the audit that non-issuance of work arrangement order, responsibility of each person cannot be ascertained. Also the accounts of Gram Panchayat had been handling by the persons without any basic training on accounts.

Therefore, the Gram Panchayat authorities may issue proper work distribution orders and also arrange to provide necessary training specially to the accounts assistant. This ensures the efficiency of works done as well fix the official's responsibility for any loss, sabotage or

damage of properties, if any, occurs.

8.1.2. Annual and supplementary budgets as prescribed in the Sikkim Panchayat Act - not followed:-

The Sikkim Panchayat Act, 1993 and Sikkim Gram Panchayat (Financial) Rule 2003, emphasizes on the preparation of budget annually for the estimated receipts and expenditure well in time for the succeeding financial years and also the Gram Panchayat should prepare supplementary budget for supplementary estimates providing for any modification of its budget, if it is necessary. It is also specifically mentioned in the Act that “No expenditure shall be incurred unless the budget is approved by the Government”.

On scrutiny of accounts of Gram Panchayat, it was found that the Gram Panchayat Fund was being incurred by Gram panchayat authorities before passing/approval of budget. However, the fund provided by the State Government through the Rural Development Department and other Line departments to the Gram Panchayat has been taken as budget allocation and expenditure incurred on the basis of decision taken at the Gram Sabha.

The practice of preparation of Annual Budget and approval of the same may be adopted before the starting of new financial year and the expenditure may strictly be incurred as per the provision made in the sanctioned budget. The Gram Panchayat may prepare supplementary budget, if felt necessary, providing for any modification of original annual budget during the current financial year (before the close of the year).

8.2. Loss of interest due to non-compliance of Govt. Instruction:

8.2.1. Mangshila Gram Panchayat under Mangan BAC

As per Sikkim Gram Panchayat (Financial) Rules, 2003 vide Para 3, all monies received by the Gram Panchayat from the source as indicated at clause (a) of sub-rule 1 of section 39 of the Sikkim Panchayat Act, 1993 should be held in the saving bank account with State Bank of Sikkim or any other Nationalized Bank. However, audit observed that Gram Panchayat has kept the Revenue collected in the current account with SISCO Bank. This resulted in loss of earning of interest over the years. The matter was reported to the Block Development Officer and the respective Panchayat President & Secretary for compliance of rule and necessary action may be taken to change the account from current to saving account immediately.

8.2.2. Rongong Tumlong Gram Panchayat under Kabi Tingda BAC

The interest component from the Gram Panchayat fund is one of the sources of revenue to the Gram Panchayat . The Gram Panchayat fund may earn a handsome amount of interest annually but the Gram Panchayat was/is operating Current Bank Account instead of Saving Account thereby causing loss in interest component every year.

PART-II

AUDIT PARAS OF NAGAR PANCHAYATS

Gist of some of the selected audit objections of Nagar Panchayats for the financial year 2018-19 & 2019-2020 raised during the year 2020-21 under report are enumerated below:

1. NON ADHERENCE TO RULE

1.1. Non Compliance of procedure for repair of Nagar Panchayat vehicles

The para 5 of Appendix -3A of Sikkim Financial Rules prescribes the procedure for “Maintenance and repairs of government vehicles”. The common procedures that are to be taken in consideration while getting vehicles repairing shall be as follows:-

- a) There is a complete ban on getting vehicles repaired through private garages, other than those authorized by the Government.
- b) Vehicles requiring repairs shall first be examined by the Transport Department, Sikkim Nationalised Transport Division, who shall be the sole authority to examine the vehicles, certify the extent of repairs that are necessary.
- c) The repairs are to be done through authorized garages in Sikkim who are selected by the Transport Department, Sikkim Nationalized Transport Division on the basis of their technical competence to undertake repairs. Work order shall be issued on the basis of comparative tender/quotations for all types of repair works from the authorized garages.
- d) No bill other than what is specified under para 2(a) will be paid unless it is certified by the engineer concerned.

1.1.1. Singtam Nagar Panchayat

Singtam Nagar Panchayat was in possession of three vehicles viz., SK.01.D2750 (cesspool truck), SK.01.D2751 and SK.01.D1652 (garbage trucks). It was seen that the payment amounting to Rs.9,98,358/- was incurred for repair and maintenance of these three vehicles from private garages in contrary to the above procedure. Also, history sheet, logbook and vehicle wise file were not created/maintained till the date of audit (jan.21)

1.1.2. Mangan Nagar Panchayat : Poor maintenance of Office Records and registers

According to Sikkim Urban Local Bodies Accounting Manual (SULBAM) and Sikkim Municipalities act, 2007, all ULBs are required to maintain various important records and registers.

However, scrutiny of records made available to audit revealed that the MNP had not maintained some of the important registers properly which is indicated below:

Sl. No.	Register	Remarks
1.	History sheet of Vehicle SK 03 D 666	No entries 2016 onwards
2.	Register of movable properties	Upto 2013-14 only
3.	Inventory register	Upto 2017 only
4.	SAR	Not updated
5.	MB issue register	Upto 2017-18

2. IRREGULARITIES IN EXECUTION OF WORKS

It was noticed during the audit that in some cases the rules and government instruction under Sikkim Public Works Code and Manual for were not followed either due to ignorance or negligence. The technical wing of the institutions must be fluent in rules and guidelines prescribed by the nodal department of the government for execution of public works. A few irregularities were noticed during the course of audit that are illustrated below:

2.1. Rangpo Nagar Panchayat : Construction of footpath from Ladaki depot Bhagya khola to Suntaley-Rs. 3,25,600/-

It was noticed during the audit that the Rangpo Nagar Panchayat had executed the work “Construction of footpath from Ladaki depot Bhagya khola to Suntaley” at Majhitar ward at a cost of Rs. 3,25,600/- departmentally. On scrutiny of records the following lapses were noticed:

- As per Rule 161 of Sikkim Public works code, it is necessary to issue the Muster Roll form for Departmental works but RNP was not in a practice of issuing MR form while executing such works.
- In any departmental work, the progress of work needs to be recorded in MB as well as in the MR form. But RNP has not adopted such system.
- TDS/GST was not deducted from the supply bill.
- Technical sanction was obtained from non-technical officer which is not permissible.

- e. Materials were procured without proper supply order and without basis of rates.
- f. Site register for each work is to be maintained but no such registers were operated.

2.2. Singtam Nagar Panchayat : Construction of RCC store room near public toilet -Rs. 6,73,879/-

It was noticed during the audit that the Rangpo Nagar Panchayat had executed the work “Construction of RCC store room near public toilet” at mandir line ward no. 3 at a cost of Rs. 6,73,879/- departmentally. On scrutiny of records the following lapses were noticed:

- a) As per Rule 161 of Sikkim Public code, it is necessary to issue the Muster Roll form for Departmental work but SNP was not in a practice of issuing MR form while executing such works.
- b) In any departmental work, the progress of work needs to be recorded in Measurement Book as well as in the Muster Roll form but SNP had not adopted such system.
- c) TDS/GST was not deducted from the supply bill.
- d) Technical sanction was obtained from non-technical officer which is not permissible.
- e) Materials were procured without proper supply order and without basis of rate.
- f) Site register and work register for each work is to be maintained but no such registers were operated. Hence it advised to comply with all the prevailing rules and guidelines while executing the public in future.

2.3. Mangan Nagar Panchayat: Supply bill r/o Construction of 2 units toilets at Dzongu stand - Rs 5,29,419/-

Scrutiny by audit revealed that Mangan Nagar Panchayat made payment of Rs 5,29,419/- vide cheque no 72026 dated 24.12.2019 for work : “Construction of 2 units toilets at Dzongu stand at Mangan” under 14th FC fund.

However, following irregularities were noticed:

- a. Estimate not signed by technical wing.
- b. Technical sanction not found.
- c. Measurement book not recorded.

2.4. Mangan Nagar Panchayat : Labour payment for minor repair of shopping complex - Rs 70,000/-

On scrutiny of records regarding Revenue Account, it was observed by audit that

Mangan Nagar Panchayat made payment of Rs 70,000/- vide cheque no 41020 dated 15.6.2019 for work: "Minor repair of shopping complex at Mangan."

However, following irregularities were noticed:

- a. No labour details found.
- b. Payment made directly to a private individual i.e. Mr. Arvind Shanker.

2.5. Mangan Nagar Panchayat : Payment for minor repair of shopping complex - Rs 1,00,000/-

Scrutiny by audit revealed that Mangan Nagar Panchayat made payment of Rs 1,00,000/- vide cheque no 40981 dated 25.6.2019 for work : "Minor repair of shopping complex at Mangan" under Revenue account.

However, audit observed that no quotation/ tender/ bid were called by MNP. Further, it was noticed by audit that supply order was issued directly to MS Chander Thankur and also payments were made directly.

2.6. Mangan Nagar Panchayat building rooftop - Rs 3,27,922/-

On scrutiny of records regarding Revenue Account, it was observed by audit that Mangan Nagar Panchayat made payment of Rs 1,54,462/- and Rs 1,73,460/- vide cheque no 40998 dated 23.9.2019 and cheque no 40998 dated 23.9.2019, respectively, for the work : "MNP building rooftop at Mangan."

However, audit observed that supply order was issued directly to MS Shreenath Prasad without calling quotation/ tender/ bid by MNP and payments were made accordingly. Further, it was noticed by audit that bills were not certified by the concerned officials.

3. EXCESS PAYMENT

3.1. Mangan Nagar Panchayat : Token tax fine/penalty Payment - Rs 1,713/-

Scrutiny by audit revealed that MNP made payment of Rs 5138/- vide cheque no 072006 dated 21.8.2019 instead of Rs 3425/- due to delay in payment of token tax of Tata tipper vehicle bearing no SK 03 D 666 for the year 2019 from 14th FC fund. Prevailing rules dictate that any fine or penalty must be borne by the concerned officer, which has not been the case here and the MNP has paid excess amount over the actual amount from scheme account ie

14th FC fund which is highly irregular.

4. INADMISSIBLE EXPENDITURES

4.1. Rangpo Nagar Panchayat

Honorarium to President and Councilors is to be paid on monthly basis after the close of month for the preceding month. On the contrary, audit team found that the honorarium to Councilors was paid in advance; 6 to 12 months early in regular interval. It is to note here that withdrawal of money in advance to pay an honorarium is not permissible as per financial rule and also leads to loss of interest component in Municipality fund.

Likewise, advance Travelling Allowance to the President was also made for whole year which not permissible.

Drawl of honorarium and TA in advance by the Rangpo Nagar Panchayat is illustrated below:

Sl.No.	Particulars	Cheque No.	Amount
1.	Advance Honorarium to President for the period 01.09.2018 to 31.03.2019	269217/05.09.2018	40,000/-
2.	Traveling allowance to President for the period 01.08.2018 to 31.07.2019	269217/05.09.2018,	48,000/-
3.	Advance Honorarium to Councilor for 01.08.2018 to 31.12.2018.	269224/12.09.2018 269225/12.09.2018	90,000/-
4.	Advance Honorarium to President w.e.f., 01.08.2019 to 31.12.2019	278564/30.04.2019	50,000/-
5.	Advance Honorarium to President w.e.f. 01.08.2019 to 31.07.2020	278618/02.07.2019	1,20,000/-

4.2. Mangan Nagar Panchayat: observation on Swachta hi Sewa - Rs 1,75,446/-

Scrutiny of records by audit revealed that Mangan Nagar Panchayat organised various programs and incurred expenditure to the tune of Rs 1,75,446/- vide cheque no 505017 dated 4.10.2019 from Revenue Account subject to recoupment from the Department.

The Mangan Nagar Panchayat started “Swachhta hi Sewa” campaign w.e.f. 11th Sept 2019 to 27th Oct 2019 pertaining to the guidelines issued by the State Mission Directorate, Swach Bharat Mission (Urban) under Urban Development Department. The main aim of campaign was to eliminate and reduce the use of plastic and disposal of plastic waste.

However, due to non-receipt of funds regarding Swachh Bharat Mission from the department and lack of fund thereof, MNP incurred expenditure from its Revenue account. Also, it was brought to the knowledge of audit that no recoupment has been made by the concerned Department till date.

5. NON PRODUCTION OF RECORDS

5.1. Rangpo Nagar Panchayat: Non Production of payment vouchers

A sum of Rs. 54,560/- has been incurred on repair of vehicle bearing no. SK.01D.1974 vide cheque no. 278177 dated 07.03.2018;

A sum of Rs. 73,385/- has been incurred on purchase of fuel for SK-01-D-1514 vide cheque no. 778644 dated 30.03.2019. However, the records of above payment were either not created or not produced though it was required by Audit team.

6. WASTEFUL EXPENDITURE

The canons of financial propriety envisaged in the municipal financial rules are sacrosanct for all government authorities entrusted with authorising or incurring of expenditure from public funds. They are expected to exercise the same diligence and care in expending public money under their control as a person of ordinary prudence would exercise in respect of his own money.

Government have issued instructions through various orders and also incorporated in the statutes of Local Bodies the various items on which public money can be expended and the principles to be adhered to while expending on such items. Yet, it was noticed during audit that funds were incurred without adhering to the laid down principles leading to the wasteful expenditure of public money.

6.1. Singtam Nagar Panchayat : Installation of e-trade license software -

Singtam Nagar Panchayat has incurred an amount of Rs. 6,50,760/- for installation of License software (e-trade license) in 2018-19. The full payment has been made to the supplier SIKKCO, Melli, South Sikkim but the software was not operational till the date of audit (Jan 2021). Payment details was as below:

- a. Ch. No. 000311/4.01.2019 Rs. 2,60,380/- (advance payment)
- b. Ch. No. 248187/27.11.2019 Rs. 3,90,380/- (final payment)

The purpose of expenditure was genuine as it would have been convenient for public, if it

had been operational. But due to lack of proper planning the exercise as a whole was resulted to be a wasteful expenditure.. SNP is advised to make the software operational so that public will be benefited and the expenditure so incurred will be justified.

CONCLUSION

The conclusion drawn on the basis of audit conducted on the accounts of the Local bodies are enumerated as under:

Initially, the auditing of accounts of the local bodies in the state of Sikkim started from the financial year 2012 – 2013, and continuing to present day. The audit procedures carried out, and audit conducted on the accounts of the local bodies is on the basis of the Sikkim Local Fund Audit Act 2012, which mandates the Directorate of Local Fund Audit to conduct audit on the accounts of the Local Bodies, in conformity to the recommendations of the Eleventh Finance Commission, Government of India. During the audit, various irregularities and discrepancies were observed in most of the Local body institutions and objections were raised. Out of those observations, the audited institutions initiated to comply with the audit suggestions and there is a marked improvement in the accounts keeping, as well. The Directorate of Local Fund Audit during the period for financial year 2012- 13 to 2018-19, is unable to conduct audit of entire institutions in a single financial year, owing to various circumstances and inherent issues attributed to the Directorate. The DLFA has to audit the accounts of the Local bodies with arrear audit for three to four previous years. In the financial year 2020-21 the DLFA audited the accounts of financial year 2019-20 along with arrear audit of accounts from the financial year 2018-19 of thirty-one institutions only. Most of the local bodies have cooperated with the audit teams, and apparently their way of working is getting better. The improvement is felt in those institutions where DLFA had conducted audit twice or thrice. However, the administrative department could not provide necessary training to PRIs and ULBs on the subject. The administrative department needs to look into the matter seriously.

Non adherence to rules, notification and circulars of the State Government were noticed in the functioning of Local Bodies. In most of the Local Bodies, no annual budgets were prepared and expenditure was incurred without preparation and approval of budget, as required under the provisions of the respective Acts/Rules. Annual budget (estimated receipts and expenditure) for next financial year based on annual plan/development plan is not prepared in most of the cases.

Lack of co-relation were noticed between the budget and expenditure. The Local Bodies have neglected to remit the realized revenues like GST, TDS & Forest Royalty into Government account. The Local Bodies have not realized commission on printing and

stationary charges as required by the prevailing rule. On procurement of stores, adoption of rates without proper survey, analysis and investigation of prevailing market rates resulted in excess payments which were noticed in the Local Bodies during the course of audit.

The basic records like Cash Book, Receipt and Payment Register, Balance Sheet, Assets and liabilities Register; Advance Register, Contingent Audit Register/Ledger, Bill Register, Salary Audit Register were not maintained in most of the PRIs/ULBs. Non levy of taxes under Sections 39[1] and 40[1] of Sikkim Panchayat Act, 1993 were noticed by the audit teams. None of the PRIs adopted the Model Accounting System for PRIs prescribed by Ministry of Panchayat Raj in 2009 for maintenance of accounts. Accordingly, audit team couldn't obtain reports generated through the (PRIAsoft) software which forms an integral part of auditing. GPUs have failed to provide actual Annual Financial Statements therefore, the Audit teams lost valuable time in preparation, compilation and providing explanation of the same during the course of audit.

Balances of the Grants in aid released by the State Government to the GPUs on account of Salaries and Allowances of teachers were not calculated and deposited to the government Account neither instructed by concerned department in writing to do so, is seen resulting unnecessary parking of govt. fund at GPUs Accounts. It is pertinent to mention here that the salaries and allowances is paying by the Education Department through respective BACs w.e.f. August 2019. So Grants-in Aid to Panchayat in this regard stopped after July 2019 by the policy decision of present government. It is to inform that the Education Department may have huge amount of Fund yet unnoticed by way of being parked and Account due to being not closed since July 2019 that was meant for payment of Salaries to Teachers while they were paid from respective GPUs. The total figure arrived to Rs 1,56.84,823/-only during our audit of 23 GPUS during 2019-20. As such the Education Department is suggested to coordinate with Rural Development Department and work out some modality for ascertaining the total amount of such Parked fund in the Accounts of Each GPU in various banks in the state pertaining to all GPUs and ensure its credit to state exchequer duly informing the Finance Department.

Moreover the accounts of both the institutions viz Gram Panchayats and Nagar Panchayats are being handled by single Accounts Assistant irrespective of fund size. Gram Panchayat funds varies from 20 lakhs to 50 lakhs whereas the Nagar Panchayat fund are quite huge in size ranging from 1,50 crores to 2.50 crores. But the persons maintaining these accounts are same in qualifications and both are not undergone any training of Accounts. This

Clearly indicates that the nodal departments are not serious in these matter, as a result the procedure of incurring expenditure and maintenance of records/accounts are almost similar in all the institutions.

During the course of audit, the audit team as far as possible took all efforts to sensitize the concerned authorities of the Local Bodies regarding all the relevant standing Government Rules and norms; and also Financial Rules framed for governance of local bodies. The Local Bodies were also familiarized with regard to the proper book keeping of all items of expenditure and revenues. The concerned authorities of the Local Bodies have assured the Audit Teams that the existing lacunae will be looked into and all necessary actions would be taken to ensure that the suggestions made by the Audit teams will be strictly adhered to in future.



(B B SUBBA)

Director, Local Fund Audit

Finance Department

Countersigned



(V. B. PATHAK, IAS)

Additional Chief Secretary

Finance Department

Place: Gangtok

ANNEXURE - I
STATEMENT SHOWING THE SCHEME WISE FINANCIAL POSITION OF GRAM PANCHAYAT UNIT (in Rupees)

A. Financial Year 2018-19

Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total	Payment	Closing Balance
Rakdong Tintek	Patuk Singbel	2425311	8180522	182238	10788071	4692003	6096068
	Rakdong Tintek	1791627	6511642	68062	8371331	2544984	5826347
	Samdong Kambel	878398	5277874	94578	6250850	3826450	2424400
	Tumin	1520790	4853330	126614	6500734	2469961	4030773
Total		6616126	24823368	471492	31910986	13533398	18377588
Rhenock	Tarpin	6861223	6831902	3388	13696513	3105026	10591487
	Sudunglakra	1306052	4099173	87096	5492321	2243876	3248445
	Rhenock	6432568	9447839	359955	16240362		11036945
Total		14599843	20378914	450439	35429196	10552319	24876877
Parakha	Latuk Chochenpheri	597664	3137574	62738	3797976	1366812	2431164
	Linkey Parakha	1289219	4868045	89976	6247240	4189080	2058160
	Rewa Machong	1655085	4136309	56247	5847641	4210054	1637587
Total		3541968	12141928	208961	15892857	9765946	6126911
Ranka	Rawtey Rumtek	3002316	38967415	99299	42069030	34702442	7366588
	Luing Perbing	1484879	4679285	78830	6242994	3435036	2807958
	Ranka	1545227	3734278	38943	5318448	3532067	1786381
	Rey Mindu	3177217	10156471	141311	13474999	8970148	4504851
Total		9209639	57537449	358383	67105471	50639693	16465778
Grand Total		33967576	114881659	1489275	150338510	84491356	65847154

STATEMENT SHOWING THE SCHEME WISE FINANCIAL POSITION OF GRAM PANCHAYAT UNIT (in Rupees)

B. Financial Year 2019-20

Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Expenditure	Closing Balance
Kabi Tingda	Kabi Rongpa	1728553	3858197	62844	5649594	4361879	1287715
	Lingchom Tingda	1090713	2967994	161588	4220295	2333774	1886521
	Lingdok Namphong	3513051	4099382	156291	7768724	3699762	4068962
	Menrongong	2282079	3597847	75280	5955206	3127705	2827501
	Navey Sotak	4451853	5971675		10423528	4224855	6198673
	Phensong	1748919	3781902	65217	5596038	2894227	2701811
Total	Rongong Tumlong	3072619	4454480	10873	7537972	3382700	4155272
		17887787	28731477	532093	47151357	24024902	23126455
Rakdong Tintek	Patuk Singbel	6096068	5860525	238714	12195307	6091857	6103450
	Rakdong Tintek	5826347	6686371	198319	12711037	7091295	5619742
	Samdong Kambel	2424400	3170413	104137	5698950	1606546	4092404
	Tumin	4030773	5409718	183940	9624431	3813224	5811207
		18377588	21127027	725110	40229725	18602922	21626803
Total	Tarpin	10591532	7359994	6286	17957812	1740731	16217081
	Sudunglakha	3248445	5041439	122134	8412018	3971799	4440219
	Rhenock	11036945	10504122	468188	22009255	4874939	17134316
		24876922	22905555	596608	48379085	10587469	37791616
Parakha	Latuk Chochenpheri	2431164	3704250	117711	6253125	2722785	3530340
	Linkey Parakha	2058160	5929164	106487	8093811	4249406	3844405
	Rewa Machong	1637587	4947531	74685	6659803	3718401	2941402
		6126911	14580945	298883	21006739	10690592	10316147
Total	Rawtey Rumtek	7366588	21445518	0	28812106	20131985	8680121
	Luing Perbing	2807958	4850593	113207	7771758	2818796	4952962
	Ranka	1786381	3447926	66663	5300970	2285521	3015449
	Rey Mindu	4504851	10319771	159213	14983835	8344365	6639470
		16465778	40063808	339083	56868669	33580667	23288002
Mangan	Mangshila Tibuk	3596089	5189123	154616	8939828	3377524	5562304
	Namok Swayem	1128627	4000979	42363	5171969	3653437	1518532
	Ramthang Tangyek	1015934	3739882	51235	4807051	2822733	1984318
	Ringhim Nampatam	3552687	5684165	141094	9377946	4405064	4972882
	Singhik Sentam	3817933	10578368	163452	14559753	9000250	5559503
Total	Tingchim Chadey	1328992	3096072	39755	4464819	2715416	1749403
	Toong Naga	3865568	3463046	82534	7411148	3874698	3536450
		18305830	35751635	675049	54732514	29849122	24883392
Grand Total		102040816	163160447	3166826	268368089	127335674	141032415

ANNEXURE - II

STATEMENT SHOWING THE SCHEME WISE FINANCIAL POSITION OF GRAM PANCHAYAT UNIT(in Rupees)

A. Financial Year 2018-19

Name of the Scheme	Name of Nagar Panchyat	Opening Balance	Receipt	Interest	Total	Payment	Closing Balance
4th SFC	Rangpo Nagar Panchyat	14,780	96,24,500	18,573	96,57,853	89,19,212	7,38,641
14th FC		52,24,142	1,06,33,500	4,68,563	1,63,26,205	82,91,763	80,34,442
SBM		1,75,248	0	2,298	1,77,546	1,67,748	9,798
Revenue a/c		41,03,184	8576733	49514	1,27,29,431	1,23,42,736	3,86,695
Cesspool Fund		122808	873373	6456	10,02,637	9,19,217	83,420
Total		96,40,162	2,97,08,106	5,45,404	3,98,93,672	3,06,40,676	92,52,996
4th SFC	Singtam Nagar Panchyat	2,02,041	70,78,000	21,585	73,01,626	67,94,404	5,07,222
14th FC		50,36,912	53,84,143	0	1,04,21,055	47,04,908	57,16,147
SBM		16,49,682		61,641	17,11,323	4,12,090	12,99,233
Revenue a/c		11,02,722	10716262		1,18,18,984	1,13,20,621	4,98,363
Total		79,91,357	2,31,78,405	83,226	3,12,52,988	2,32,32,023	80,20,965
14 th FC	Mangan Nagar Panchyat	376440	4078500	124954	45,79,894	9,66,348	3613546
SBM		157414	0	6220	1,63,634	89,468	74166
Total		533854	4078500	131174	4743528	1055816	3687712
Grand Total		1,81,65,373	5,69,65,011	7,59,804	7,58,90,188	5,49,28,515	2,09,61,673

STATEMENT SHOWING THE SCHEME WISE FINANCIAL POSITION OF GRAM PANCHAYAT UNIT(in Rupees)

B. Financial Year 2019-20

Name of the Scheme	Name of Nagar Panchyat	Opening Balance	Receipt	Interest	Total	Payment	Closing Balance
4th SFC	Rangpo Nagar Panchyat	738641	9692600	33639	10464880	10333563	131317
14th FC		8034442	5840500	220273	14095215	12187908	1907307
SBM		9798	0	348	10146	0	10146
Revenue a/c		386695	19968984	39448	20395127	14211663	6183464
Cesspool Fund		83420	0	278	83698	83688	10
Total		9252996	35502084	293986	45049066	36816822	8232244
4th SFC	Singtam Nagar Panchyat	507222	9754160	32763	10294145	9919836	374309
14th FC		5716147	2953000	0	8669147	8387344	281803
SBM		1299233		19767	1319000	1291563	27437
Revenue a/c		498363	21508817		22007180	21970492	36688
Total		8020965	34215977	52530	42289472	41569235	720237
Revenue	Mangan Nagar Panchyat	1328008	16773095	66777	18167880	5773413	12394467
4 th SFC		806532	2502120	38950	3347602	3331882	15720
14 th FC		3613546	2511376	158748	6283670	3339606	2944064
SBM		74166	0	1542	75708	74071	1637
Total		5822252	21786591	266017	27874860	12518972	15355888
Grand Total		23096213	91504652	612533	115213398	90905029	24308369

ANNEXURE III

STATEMENT SHOWING CLOSING BALANCE OF HRDD GRANTS-IN- AID OF GPUs AS ON 31.03.2020				
Name of BAC	GPU	Account No.	Date	Closing Balance
Kabi	Kabi Rongpa	SBS/281330294020004	31.03.2020	50231
	Lingdok Nampong		31.03.2020	35592
Rakdong Tintek	Rakdong Tintek		31.03.2020	22150
	Patuk singbel		31.03.2020	112872
	Samdong Kambal		31.03.2020	57664
	Tumin		31.03.2020	6501
Rhenock	Rhenock	SBS/281110074020154	31.03.2020	6705400
	Tarpin		31.03.2020	609476
Ranka	Sudunglakha	SBS/281110074020154	31.03.2020	5177670
	Luing Perbing	SBS/136	31.03.2020	115151
	Rawtey Rumtek	SBS/137	31.03.2020	231300
	Ranka	SBS/134	31.03.2020	164409
	Rey Mindu	SBS/133	31.03.2020	1444820
	Latuk Chochenpheri	SBS/137	31.03.2020	15987
Parakha	Linkey parakha	SBS/141	31.03.2020	227512
	Rewa Machong	SBS/142	31.03.2020	48371
	Mangshila Tibuk	SBS/3791	31.03.2020	76005
Mangan	Namok Swayem	SBS/3791	31.03.2020	12257
	Ramthang Tangyek	SBS/3790	31.03.2020	92110
	Ringhim Nampatam	SBS/3973	31.03.2020	46318
	Singhik Sentam	SBS/3788	31.03.2020	57411
	Tinchim Chande	SBS/4337	31.03.2020	15225
	Toong Naga	SBS/3789	31.03.2020	360391
				15684823
TOTAL				

